Income = Consumption expenditure + Capital formation

As per System of National Accounts (SNA), 2008 in India the formula for GDP under expenditure method is as follows:

GDP = PFCE + GFCE + GCF + Export of Goods and Services – Import of Goods and Services) + Discrepancies

Where,

PFCE – Private Final Consumption Expenditure

GFCE – Government Final Consumption Expenditure

GCF – Gross Capital Formation

In the above formula PFCE, GFCE and Export of Goods and Services – Import of Goods and Services are expenditure items. GCF is a savings item.

In the SNA, final consumption expenditure is incurred only by general government, NPISHs and households. Corporations do not have final consumption expenditure. They may purchase the same kinds of goods or services as households use for final consumption (for example electricity or food) but such goods or services are either used for intermediate consumption or provided to employees as remuneration in kind.

I. Private Final Consumption Expenditure

Final consumption expenditure is the amount of expenditure on consumption goods and services. The final consumption expenditure borne by private is called private final consumption expenditure. Here by the word private we mean households. All consumption expenditure by households is incurred by them for their own benefit. The final consumption expenditures are incurred both within the economic territory and in ROW. The PFCE is expressed in formulaic form as below: